

1. Which of the following costs are **not included** in point-of-sale costs?

- A. Licenses by regulatory agencies
- B. Transfer taxes and duties
- C. Transport and other costs necessary to get the assets to a market
- D. Commissions to brokers and dealers

2. In equity market, the return of the investor is?

a. Price Rises-Dividends

b. Prices rises

c. Dividend

d. Price Rises + Dividends

3. The Company has attempted to determine the **replacement cost of its inventory**. Three different appraisers arrive at slightly different amounts for the value. The president, nevertheless, decides to report the middle value for internal reporting purposes. Which **qualitative characteristic of information is lacking** in these values?

- a. Timeliness
- b. Verifiability
- c. Comparability
- d. Understandability

Explanation:

4. Assume that the corporation made a profit of **\$500,000** before taxes. The corporation's tax rate is **30 percent**. The corporation distributes a dividend of **\$100,000**. What is the value of the **tax shield** from the dividend payments to investors?

- a) \$0
- b) \$30,000
- c) \$50,000
- d) \$150,000

5. Which one of the following is the **most popular** means of business combination?

- a. Spin-offs and leveraged buy-outs
- b. Amalgamation and takeovers
- c. Buyback of shares and capital reorganization
- d. Mergers and acquisitions

6. Which of the following **is not affected** when the business performs a \$1,500 of advertising services for customers and receives cash of \$1,200 from customers, and bills the balance of \$300 on account?

- a. Equity
- b. Liabilities
- c. Revenue
- d. Assets

Explanation:

7. According to Ethiopian labor Proclamation No. 1156/2019, in payroll preparation what is the rate used for commutating overtime payment for hours **working on holidays**?

- a) 2
- b) 1.75
- c) 1.5
- d) 2.5

Explanation:

8. When we use the **lower of cost or net realizable value (LCNRV)** for inventory valuation, the net realizable value is calculated by:

- a) Deducting both estimated cost of completion and to sell from sales
- b) Adding both estimated cost of completion and to sell from sales
- c) Deducting both estimated cost of completion and to sell from cost
- d) Deducting estimated cost of completion from cost and add estimated cost to sell on sales

Explanation:

9. The sales and collection cycle:

- a. Begins with a request by a customer and ends with sales of goods and services
- b. Begins with purchase of raw materials and ends with finished goods
- c. Begins with a request by a customer and ends with collection of cash
- d. Begins with purchase of raw materials and ends with sales of goods and services

10. Aggressive current asset financing policy involves

- a. Keep relatively little in marketable securities
- b. Keeping large quantity of inventory
- c. A large investment in cash and marketable securities
- d. A relatively large investment in net working capital

Explanation:

11. From the following financial institutions, which one **allocates savings efficiently** in an economy to ultimate users either for investment in real assets or for consumption?

- a) Merchandise enterprise
- b) Manufacturing company
- c) Bank
- d) Insurance company

Feedback

12. Which of the following transaction **affects equity** account?

- a. Payment of account payable
- b. Purchase equipment on cash
- c. Providing service on account
- d. Purchase supplies on account

Explanation:

13. One of the following **is different** from the rest ?

- a. Current ratio
- b. Inventory turnover ratio
- c. Quick ratio
- d. Acid test ratio

Evaluation:

14. Which accounting method is commonly used to account for **joint ventures** in the venturers' financial statements?

- a) Consolidation method
- b) Fair value method
- c) Cost method
- d) Equity method

Evaluation:

15. A manufacturing company uses process costing. All the direct material is introduced at the start of production and conversion costs are added equivalently throughout the process. There was no beginning inventory of WIP. During March, 2023, 12,000 units are started, 8,000 completed, and 2,000 are 60% complete for conversion costs. What are the equivalent units of work done for conversion costs?

- a. 12,000
- b. 7,200
- c. 9,200
- d. 10,000

Explanation:

- 16.** When translating into the functional currency foreign currency denominated non-monetary items measured using historical cost must be translated using the:
- a) Rate current at end of reporting period
 - b) Average rate for the reporting period
 - c) Rate prevailing at the end of the last financial year
 - d) Historical exchange rate

Explanation:

- 17.** The following are the **reasons** which make **depository institutions popular** financial institutions **except**
- a. They have more expertise than individual surplus units in evaluating the creditworthiness of deficit units
 - b. They make profit from spreads between lending and borrowing rates
 - c. They sell the shares to surplus units and use the funds received to purchase a portfolio of securities. They accept the risk on loans provided
 - d. They repackage funds received from deposits to provide loans of the size and maturity desired by deficit units

Explanation:

18. Which IPSAS standard deals with **accounting for revenues** from exchange transactions?

- a. IPSAS 6
- b. IPSAS 11
- c. IPSAS 9
- d. IPSAS 17

19. One of the following is incorrect regarding what happens when an investor diversifies?

- a. Ignoring other factors, diversification is worthwhile so long as the assets' returns are not perfectly positively correlated.
- b. Portfolio standard deviation decreases as more securities are added up to a certain limit.
- c. Systematic (Market) risk cannot be reduced no matter what the level of diversification is.
- d. All components of the risk in an asset's return can be eliminated.

20. Assume the manufacturer purchases raw materials for ETB 2,000. After processing the raw materials, the manufacturer sells the product to the wholesaler for ETB 4,000. How much is the VAT liability for manufacturer? Use the standard rate of VAT.

- a. ETB 500
- b. ETB 400
- c. ETB 300
- d. ETB 600

Explanation:

21. Except one, all of the following are the need for ethical standards in the auditing profession:

- a. To build the public confidence
- b. To judge the quality of audit work
- c. To function in an orderly manner
- d. To prepare financial statements

22. Which of the following would increase the external funds needed (EFN) if all other things are held constant?

- a. A decrease in the firm's dividend payout ratio
- b. An increase in the expected sales growth rate
- c. An increase in the dividend payout ratio
- d. An increase in the profit margin

23. What is the annual turnover range for Category 'B' taxpayers?

- a. ETB 1,000,000 to ETB 2,000,000
- b. ETB 100,000 to ETB 500,000
- c. ETB 500,000 to ETB 1,000,000
- d. Above ETB 2,000,000

24. Which one of the following is incorrect about accounting for a sales agency?

- a. There are no complete accounting records at a sales agency other than a record of sales to customers and a summary of cash payments supported by vouchers.
- b. Orders are taken from customers and transmitted to the home office, which approves customers credit and ships the merchandise directly to the customers.
- c. Accounts receivables are managed by the sales agency.
- d. Separate revenue and expense accounts may be opened by the home office for each sales agency so as to measure its profitability.

25. An authorization granted by law to make expenditures and to incur obligations for specific purpose referred as

- a. Approved Budget
- b. Appropriations
- c. Encumbrances
- d. Expenditures

Answer: b

26. In exchanges of assets in which the exchange has commercial substance:

- a. Gains, but not losses, are recognized immediately.
- b. Neither gains nor losses are recognized immediately.
- c. Losses, but not gains, are recognized immediately.
- d. Both gains and losses are recognized immediately.

Evaluation

27. Which one of the following is correct about public enterprise in Ethiopia?

- a. They are owned by shareholders and acquire additional funds by issuing shares
- b. They are typically state-owned and operate under various legal forms and designations
- c. They are company holding enterprise and focus on profit making
- d. They are owned by partners and forming by their contributions

28. A company manufactures office tables. Variable manufacturing overhead cost is allocated to each unit on the base of budgeted direct manufacturing labor hours per unit. The following data is for the month of March 2024:

Budgeted direct manufacturing labor per table was 4 hours.

Budgeted variable manufacturing overhead cost per labor-hour was \$12.

The budgeted number of tables to be manufactured in March 2024 is 1,040.

Actual variable manufacturing costs in June 2024 were \$52,000 for 1,080 tables started and completed.

Actual direct manufacturing labor hours for March were 4,000.

There was no beginning or ending inventories of tables.

What was the static-budget variance for variable manufacturing costs for the month of March, 2024?

- a. \$4,920 favorable
- b. \$10,400 favorable
- c. \$12,400 unfavorable
- d. \$2,080 unfavorable

The static-budget variance is the difference between the actual results and the static budget amount. The static budget is based on the budgeted output of 1,040 tables.

First, determine the total budgeted labor hours for the budgeted output.

Total Budgeted Hours = 1,040 tables * 4 hours = 4,160 hours

Static Budget Cost = 4,160 hours * \$12 hour = \$49,920

Variance = Actual Costs - Static Budget Costs

Variance = \$52,000 - \$49,920 = \$2,080

Since the actual costs of \$52,000 are greater than the static budget costs of \$49,920, the variance is unfavorable.

29. Amounts that can be spent only for the specific purposes designated by external providers is referred to as a:

- a. Restricted fund balance
- b. Non spendable fund balance
- c. Committed fund balance
- d. Assigned fund balance

Explanation:

30. Which of the following would explain an unfavorable labor efficiency variance?

- a. Price of direct materials was higher than anticipated
- b. Quality of material exceeded the standard
- c. Unexpected idle time resulted from a series of machine breakdown
- d. Employees were of a higher skill level than specified in the standard

- 33.** Allocation of indirect costs is a vital part of determining product costs. All of the following are **true about indirect costs** except one:
- a. Are not easily traced to products or services
 - b. May be included in manufacturing overhead
 - c. Vary with the selection of the cost object
 - d. May be included in prime costs

34. Which of the following best describes **real-time processing** in an Accounting Information System?

- a. Data is manually entered once a month.
- b. Transactions are batched and processed at the end of the day.
- c. Transactions are recorded and processed immediately as they occur.
- d. Financial statements are prepared annually.

Explanation:

35. A business merger differs from a business consolidation because:

- a. A merger dissolves all but one of the prior entities, but a consolidation dissolves all of the prior entities
 - b. A merger is created when two entities join, but a consolidation is created when more than two entities join
 - c. A consolidation is created when two entities join, but a merger is created when more than two entities join
 - d. A consolidation dissolves all but one of the prior entities, but a merger dissolves all of the prior entities
-

36. Which one of the following is an artistic-related intangible asset?

- a. Patent
- b. Franchise
- c. Copyright
- d. Customer list

Explanation:

37. Which accounting method is commonly used to account for joint ventures in the venturers' financial statements?

- a. Consolidation method
- b. Fair value method
- c. Cost method
- d. Equity method

38. When a purchase order or contract is issued as authorized by an appropriation, the journal entry to recognize this commitment includes:

- a. A credit to voucher payable
- b. A credit to appropriations
- c. A debit to reserve for encumbrances
- d. A debit to encumbrances

39. What are the **correct journal entries** made by a home office if a branch remitted or transferred cash of Br 270,000 to home office?

- a. Debited account receivable 270,000 and credited sales 270,000
- b. Debited cash 270,000 and credited investment in branch 270,000
- c. Debited cash 270,000 and credited investment income 270,000
- d. Debited home office 270,000 and credited cash 270,000

40. Which of the following is the most **relevant information** to evaluate the performance of a cost center manager?

- a. Budgeted vs actual costs
- b. Sales revenue
- c. Net income
- d. Return on investment

41. Income statement amounts are translated using which of the following rates when using the **current rate method**?

- a. Current rate
- b. Historical exchange rate
- c. Average exchange rate
- d. Rate as of the reporting date

42. Which of the following is **correct** for the result of the adjustments of accrued revenues at the end of accounting period?
- a. Increase liability and increase expense
 - b. Increase assets and increase revenues
 - c. Decrease liabilities and increase revenues
 - d. Have an assets-and-revenues-account relationship

43. The major balance sheet account in the acquisition cycle is?

- a. Note payable
- b. Accounts payable
- c. Accrued Liability
- d. Unearned revenue

44. How much the net payment for employee paid a monthly salary of ETB 4,000 for a normal working hour of 40 per week? During this month the employee is doing 16 hours of overtime from office leaving (6:00 pm) up to 10:00 pm.

- a. ETB 3,702.50
- b. ETB 3,982.50
- c. ETB 3,720
- d. ETB 3,820.50

45. The difference between current financial resources and the claims against the current financial resources is reported as

- a. General fund
- b. Fund balance
- c. Expenditures
- d. Encumbrances

46. Which of the following is the **disadvantage of corporation**?

- a. Additional taxes
- b. Ability to acquire capital
- c. Continuous life
- d. Separate legal existence

47. Company manufactures toilet seats. During December 2024, the actual cost per hour of labor employed decreased by 5%. This price decline would result in:

- a. Favorable labor price variance
- b. Favorable material price variance
- c. Unfavorable labor price variance
- d. Favorable labor efficiency variance

48. According to Ethiopian Income Tax Proclamation No. 979/2016, in general which of the following income is **exempted from income tax**?

- a. Income from allowance
- b. Income from scholarship and grants
- c. Income from bonus
- d. The value of fringe benefit

49. In a business combination, the acquirer is the party that

- a. Concedes control over the acquired entity
- b. Obtains control of other entities
- c. Receives the acquisition consideration
- d. Sells the acquired entity

50. Which type of debt is incurred by the government from domestic sources?

- a. Private debt
- b. Internal debt
- c. External debt
- d. Corporate debt

51. Which basis of accounting used for preparing statements of cash flows?

- a. Income basis of accounting
- b. Accrual basis of accounting
- c. Cash basis of accounting
- d. Modified basis of accounting

52. For the relevant range, which of the following statements regarding graphs of fixed and variable costs is **true**?

- a. Fixed costs are zero when production is equal to zero
- b. Variable costs can be represented by a straight line where costs are the same for each data point
- c. Variable costs are zero when production is equal to zero
- d. Fixed costs can be represented by a straight line starting at the origin and continuing through each data point

53. The likelihood of **material misstatements** of an account balance before considering the effectiveness of internal control is called

- a. Acceptable audit risk
- b. Substantive risk
- c. Inherent risk
- d. Material risk

Explanation:

54. Assume the following inventory data for company X.

Date	Transactions	Unit	Unit cost
January 1	Beginning	1,000	\$11
June 19	Purchase	13,000	\$12
Nov 8	Purchase	5,000	\$13

If the company has 12,000 units on hand at December 31, how much the cost of the ending inventory using LIFO?

- a. \$129,000
- b. \$149,000
- c. \$143,000
- d. \$160,000

Explanation:

54. Assume the following inventory data for company X.

Date	Transactions	Unit	Unit cost
January 1	Beginning	1,000	\$11
June 19	Purchase	13,000	\$12
Nov 8	Purchase	5,000	\$13

If the company has 12,000 units on hand at December 31, how much the cost of the ending inventory using LIFO?

- a. \$129,000 b. \$149,000
c. \$143,000 d. \$160,000

143,000

55. Which of the following types of insurance contracts would probably **not be covered** by IFRS 4?

- a. Pension plan.
- b. Medical insurance.
- c. Motor insurance.
- d. Life insurance.

56. Which audit report is issued by auditor if there is the misstatements in financial statements are pervasive?

- a. Unqualified with Explanatory Paragraph or Modified Wording
- b. Qualified
- c. Standard Unqualified
- d. Adverse

Explanation:

- 57.** What is the purpose of the Management's Discussion and Analysis (MD&A) in government financial reports?
- a. To list all expenditures
 - b. To provide a narrative overview of financial performance
 - c. To detail tax collection
 - d. To replace the auditor's report

58. Which inventory costing method result in the cost of goods sold is from the **recent purchases**?

- a. Last-in-first-out
- b. Weighted average cost
- c. First-in-first-out
- d. Specific identification

59. Which of the following best illustrates the concept of sampling risk?

- a. An auditor may fail to recognize errors in the documents from the sample
- b. A randomly chosen sample may not be representative of the population as a whole for the characteristic of interest
- c. The documents related to the chosen sample may not be available to the auditor for inspection
- d. An auditor may select audit procedures that are not appropriate to achieve the specific objective

- 60.** Which code of conduct indicates practitioners or auditor not to disclose secret information obtained in any type of engagement without the consent of the client?
- a. Confidential client information
 - b. Contingent fees Code of conduct
 - c. Independence
 - d. Integrity and objectivity

61. Which of the following is an attribute of **conservative** current asset financing policy?
- a. Increases the probability that a firm will experience financial distress
 - b. A large investment in cash and marketable securities.
 - c. Keep relatively little in marketable securities.
 - d. A relatively little investment in net working capital.

62. In business combination, how do we treat all indirect costs of bringing about and consummating a business combination like finder's fees, consulting fees, travel costs and so on?

- a. It will allocate for different periods
- b. As an asset
- c. As a paid-in capital
- d. As an acquisition expense

Explanation:

63. One of the methods of discounting cash flow methods is profitability index (PI). What can be inferred from a PI of 1.52?

- a. The present value of benefits is 0.667 times the project's costs.
- b. The project returns 1.50 in profit for each dollar invested.
- c. The project's NPV is greater than zero.
- d. the project's IRR is less than its cost of capital.

64. Which of the following statements is **incorrect**?

- a. Accounting for income taxes, which is typical for business organizations, is usually not appropriate for government and NFPs.
- b. Evaluating the performance and operating results using profitability indicators is impossible for all types of governmental and NFP organizations.
- c. Fiscal accountability relates to raising and spending of resources generally within a budgetary period of one year.
- d. Private businesses seek to increase their wealth for the benefit of their owners.

- 65.** Test of control for the acquisition and payment cycle is divided into:
- a. Test of acquisition and incurred
 - b. Test of acquisition and expenditure
 - c. Test of acquisition and disbursement
 - d. Test of acquisition and Payment

66. Which audit type is used to evaluate the efficiency and effectiveness of the organization operating procedures and method?

- a. Financial statement audit
- b. Compliance audit
- c. Performance audit
- d. Special Audit

67. A management accountant is tasked with evaluation of a potential lease agreement for a machine. The lease is accounted for as a capital lease. All of the following are relevant factors to be considered in order to make the comparison **except one**:

- a. Periodic lease payments
- b. Cost of operating the machine
- c. Revenue from sale of products the machine is used to make
- d. Cost savings expected from the use of the machine

- 68.** A gain or loss arising on the initial recognition of a biological asset and from a change in the fair value less estimated point-of-sale costs of a biological asset should be included in:
- a. A capital reserve within equity.
 - b. The statement of recognized gains and losses.
 - c. The net profit or loss for the period.
 - d. A separate revaluation reserve.

69. Which of the following is **not** role of financial system in economic development?

- a. Reduces the transaction costs
- b. It links the savers and investors.
- c. Reduce the exposure of investor to risk
- d. Reduce symmetric Information

70. Under retail inventory method, which of the following concept is explaining as **decreases** in the original sales prices of inventory?

- a. Markdowns
- b. Markups
- c. Markdown cancellations
- d. Markup cancellations

71. When the auditor goes through a population and select items for the sample without regard to their size, source, or other distinguished characteristics, he/she is doing

- a. Block sample selection
- b. Statistical selection
- c. Systematic sample selection
- d. Haphazard selection

72. Which IPSAS standard deals with consolidated financial statements of public enterprises?

- a. IPSAS 19
- b. IPSAS 17
- c. IPSAS 6
- d. IPSAS 11

Correct answer is: c

73. The following data pertains to products A and B

Product	A	B
Sales Price per Unit	\$30	\$40
Variable Cost per Unit	22	30
Planned Sales Mix Percentage	60%	40%

What is the weighted contribution margin for the two products?

- a. \$25.2
- b. \$32
- c. \$52
- d. \$8.8

Explanation:

74. Which of the following best describes real-time processing in an Accounting Information System?

- a. Data is manually entered once a month.
- b. Transactions are batched and processed at the end of the day.
- c. Transactions are recorded and processed immediately as they occur.
- d. Financial statements are prepared annually

- 75.** What are the correct journal entries made by a home office if a branch remitted or transferred cash of P. 270,000 to home office?
- a. Debited account receivable 270,000 and credited sales 270,000
 - b. Debited cash 270,000 and credited investment in branch 270,000
 - c. Debited cash 270,000 and credited investment income 270,000
 - d. Debited home office 270,000 and credited cash 270,000

76. Which of the following is prescribes that a company records the expenses it incurred to generate the revenue reported.

- a) Matching principle
- b) Going concern assumption
- c) Monetary unit assumption
- d) Business entity assumption

Explanation:

77. Which one following is **correct about the chronological** order of corporate structure?

- a) Stockholders Board of Directors President Employees of corporation.
- b) Board of director stockholders employees of corporation president.
- c) Employees of corporation president board of director stockholders.
- d) President board of director stockholders employees of corporation.

78. Dreamline Company has sales of \$150,000 and cost of goods available for sale of \$135,000. If the gross profit rate is 30%, the **estimated cost of the ending inventory** under the gross profit method is:

- A. 15,000.
- B. \$30,000.
- C. \$45,000.
- D. \$75,000.

79. In bank reconciliation, deposits in transit are:

- a) Deducted from the book balance.
- b) Added to the book balance.
- c) Added to the bank balance.
- d) Deducted from the bank balance.

82. Hawassa Industrial Park at the beginning of the year 2022, planned to incur direct material and direct labor costs of birr 100 million and birr 50 million respectively. The total selling, general and administrative costs are birr 8,000,000 and manufacturing overhead cost is 30% of the total non manufacturing costs. Hence, what is the prime and conversion costs respectively of the company for the year 2022?

- A. Birr 150 million and birr 52.4 million
- B. Birr 150 million and birr 8 million
- C. Birr 50 million and birr 8 million
- D. Birr 152.4 million and birr 8 million

$$TM \text{ C} = DM + DL + MO$$

83. **"Shareholder wealth"** in a firm is represented by:

- A. The number of people employed in the firm.
- B. The book value of the firm's assets less the book value of its liabilities.
- C. The amount of salary paid to its employees.
- D. The market price per share of the firm's common stock

84. Mr. Lema purchased 100 stocks of futura informatics ltd, for Br 21 on March 15, and sold for Br 35 on March 14 next year. If the company paid a dividend of Br 2.50 per share. Mr. Lema **holding period return** is _____.

- A. 11.90%.
- C. 66.70%.

- B. 45.40%.
- D. 78.60%.